YieldShield

Arc

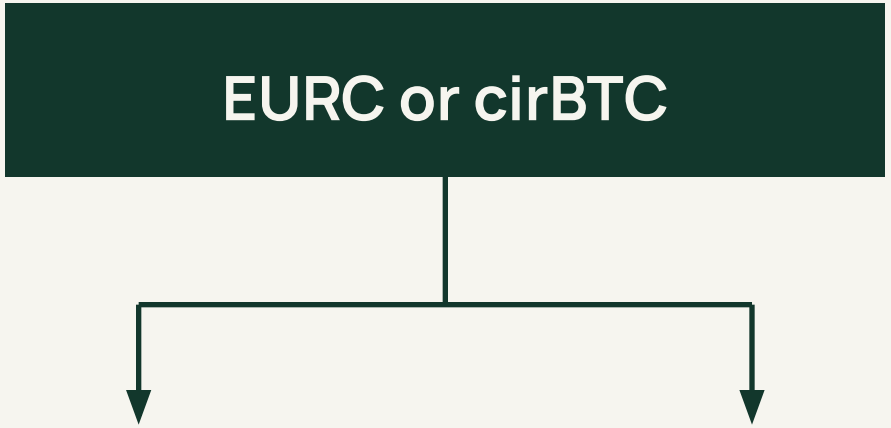
USDC-backed protection for EURC and cirBTC



Circle Developer Grant
20 October 2026

A fixed exit value in USDC

Holders keep exposure to EUR or BTC.
They choose when to return to USDC.

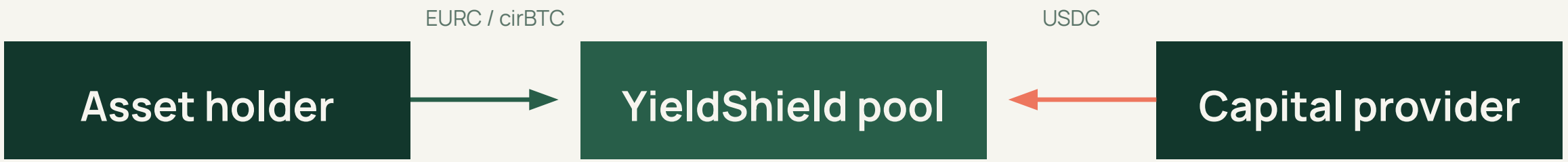


Initial audience

Arc treasury, lending,
wallet and agent builders

Arc testnet. Unaudited. Test tokens have no monetary value.

The reserve model



Fixed claim

Value set at entry
by the oracle

150%

USDC reserved per claim

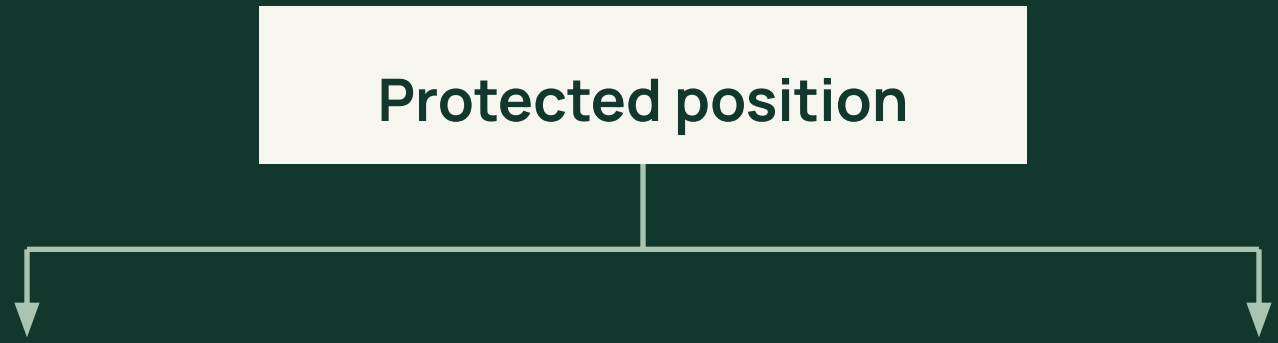
Risk + reward

Earn gain fees
Receive surrendered assets
Bear their downside

Illustration: a 100 USDC claim requires 150 USDC of backing at entry.

Reserve requirement does not replace an independent audit.

Two exits before maturity



Keep the asset

Pay 12% of realized gain only

10% provider 1% creator 1% protocol

Take the USDC claim

Surrender the asset for the fixed claim

No price read needed for this exit

At maturity: anyone can settle; holders claim USDC and providers receive remaining assets.

Built on Circle assets and Arc

WORKING TODAY

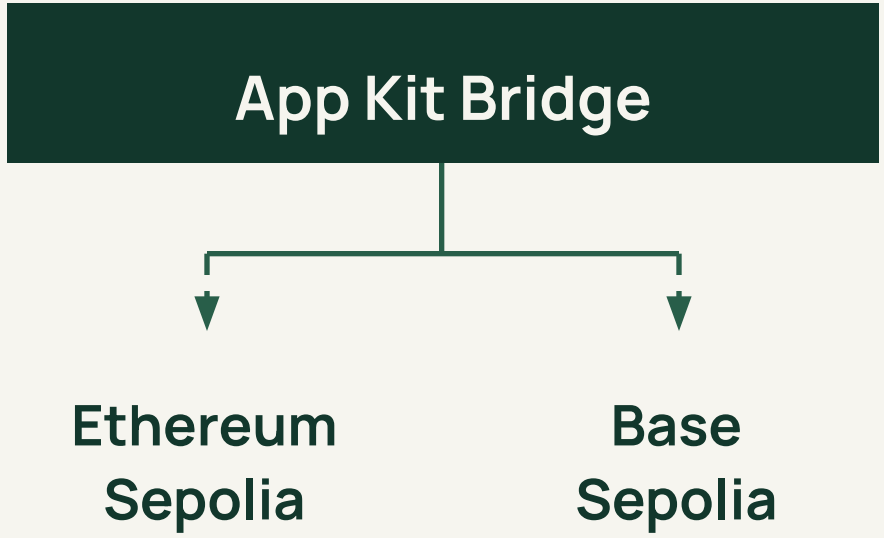
Arc testnet

EURC | cirBTC | USDC

Protected assets | Reserve + gas

Chronicle price references

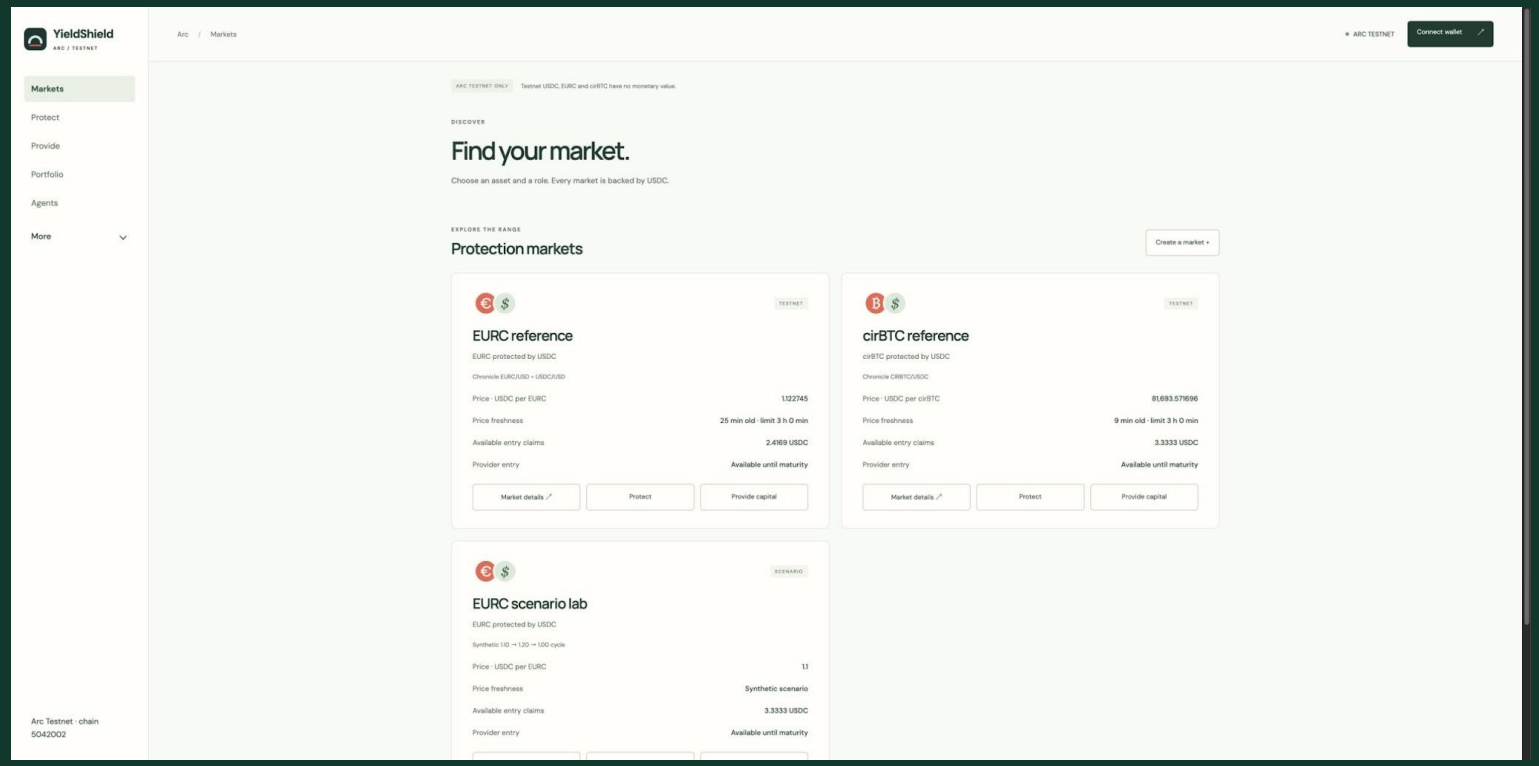
PROPOSED GRANT WORK



USDC + EURC to both destinations

Planned bridges run separately after an exit or claim. Pools remain on a single chain.

The deployed testnet product



3

working markets

72

contract tests passed

arc.yieldshield.ai

Project-controlled test wallets. No external users or revenue. Tests are not an audit.

A pilot with measurable outcomes

20

invitations

Five discovery interviews

10

external testers

At least three teams

30

complete journeys

Both exits, maturity and provider claims

8 / 10

Target: complete a core flow without live help.
Publish failures and fixes, then seek follow-on integrations.

Future targets. No tester or partnership commitments claimed.

The founders



David Hawig

Founder
Managing Director

Former Web3 Foundation ecosystem director
Founded and exited two startups



Santiago Balaguer

Cofounder
Product Lead

15 years in product
5 years in crypto

Hawig Ventures UG, Germany. Self-funded. No grants or investment received.

$16,000 across four milestones

$11,000 core work

$5,000 conditional mainnet

Deliverable	Acceptance / target	Hours	Budget
Bridge exits	4 transfers + recovery / week 3	35	**$3,500**
Agent integration	Unsigned tools / week 6	45	**$4,500**
Pilot + hardening	10 testers, 30 journeys / week 9	30	**$3,000**
Capped mainnet	After audit + legal review	50	**$5,000**

Mainnet requires a separately funded independent audit and legal review. Existing work is not billed.